



# MEMORANDUM

TPA - No. 2011-0030

## The Philippine Stock Exchange, Inc.

|                                                   |                                                  |
|---------------------------------------------------|--------------------------------------------------|
| <input checked="" type="checkbox"/> Trading Rules | <input type="checkbox"/> Computer Systems Update |
| <input type="checkbox"/> Membership Rules         | <input type="checkbox"/> Administrative Matters  |
| <input type="checkbox"/> Listing Rules            | <input type="checkbox"/> Others:                 |

To : **THE INVESTING PUBLIC AND TRADING PARTICIPANTS**

Subject : **PROPOSED AMENDMENT OF TRADING RULES IN RELATION TO EXTENDED TRADING**

Date : **July 28, 2011**

Please be informed that the Board of Directors of The Philippine Stock Exchange, Inc. ("Exchange"), during its meeting last July 13, 2011, approved the extension of trading hours from its current schedule of 9:00 a.m. – 12:10 p.m. to 9:00 a.m. – 3:30 p.m. The plan of implementation shall include two phases as follows:

| Phase 1<br>(Effective October 1, 2011) | Phase 2<br>(Effective January 1, 2012) |
|----------------------------------------|----------------------------------------|
| 9:00 a.m. - 1:00 p.m.                  | 9:00 a.m. - 12:00 p.m.                 |
|                                        | 1:30 p.m. - 3:30 p.m.                  |

The implementation of the new trading schedule would entail amendment to certain sections of the revised trading rules. In this regard, the Exchange is inviting all concerned parties to give their comments on the proposed amendments. For your reference, attached is a summary of sections in the revised trading rules which requires amendment to be parallel with the approved trading schedule.

Please send your comments to [rmvillanueva@pse.com.ph](mailto:rmvillanueva@pse.com.ph) not later than August 4, 2011.

**(Original Signed)**  
**RACHELLE C. BLANCH**  
**Head, Market Operations Division**

|                         |                            |                            |                     |                            |                                 |                               |
|-------------------------|----------------------------|----------------------------|---------------------|----------------------------|---------------------------------|-------------------------------|
|                         |                            |                            |                     |                            |                                 |                               |
| FID/CSD                 | Market Regulation Division | Issuer Regulation Division | Technology Division | Market Operations Division | Capitals Markets Dev't Division | Office of the General Counsel |
| Tel. # 688-7561/6887508 | Tel. # 688-7541            | Tel. # 688-7510            | Tel. # 688-7480     | Tel. # 819-4430            | Tel. # 688-7534                 | Tel. # 688-7411               |

| CURRENT RULE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | AMENDED RULE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
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| ARTICLE II – TRADING DAY SCHEDULE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| <p><b>SECTION 2. Trading Hours</b></p> <p>The Exchange shall determine the hours and schedule of a Trading Day. Unless the Exchange decides otherwise, a Trading Day shall conform to the following schedule:</p> <p>For half-day trading:</p> <p>8:45 a.m. - National Anthem<br/> 9:00 a.m. - Pre-Open<br/> 9:30 a.m. - Market Open<br/> 11:57 a.m. - Pre-Close<br/> 12:00 p.m. - Run-off/ Trading at Last<br/> 12:10 p.m. - Market Close</p> <p>For whole day trading:</p> <p>8:45 a.m. - National Anthem<br/> 9:00 a.m. - Pre-Open<br/> 9:30 a.m. - Market Open<br/> 12:00 p.m. - Market Recess<br/> 2:00 p.m. - Market Resumes<br/> 3:45 p.m. - Pre-Close<br/> 3:50 p.m. - Run-off/ Trading-at-Last<br/> 4:00 p.m. - Market Close</p> <p>The Exchange may effect changes to the hours and schedule of a Trading Day, as the circumstance warrants.</p> | <p><b>SECTION 2. Trading Hours</b></p> <p>The Exchange shall determine the hours and schedule of a Trading Day. Unless the Exchange decides otherwise, a Trading Day shall conform to the following schedule:</p> <p>For half-day trading:</p> <p>8:45 a.m. - National Anthem<br/> 9:00 a.m. - Pre-Open<br/> 9:30 a.m. - Market Open<br/> 11:57 a.m. - Pre-Close<br/> 12:00 p.m. - Run-off/ Trading at Last<br/> 12:10 p.m. - Market Close</p> <p>For whole day trading:</p> <p>8:45 a.m. - National Anthem<br/> 9:00 a.m. - Pre-Open<br/> 9:30 a.m. - Market Open<br/> <u>12:00 p.m. - Market Recess</u><br/> <u>1:30 p.m. - Market Resumes</u><br/> <u>3:17 p.m. - Pre-Close</u><br/> <u>3:20 p.m. - Run-off/ Trading-at-Last</u><br/> <u>3:30 p.m. - Market Close</u></p> <p>The Exchange may effect changes to the hours and schedule of a Trading Day, as the circumstance warrants.</p> |

| ARTICLE IV. GENERAL TRADING OPERATIONS                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
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| <b>SECTION 13. Order Modification</b><br><br>a. Modification of Orders shall be prohibited within a specific phase during Market Pre-Open and Pre-Close Period in accordance with the Implementing Guidelines of these Rules.                                                                                                                                                                                                                                                                                       | <b>SECTION 13. Order Modification</b><br><br>a. Modification of Orders shall be prohibited within a specific phase during Market Pre-Open, <u>Market Recess</u> and Pre-Close Period in accordance with the Implementing Guidelines of these Rules.                                                                                                                                                                                                                                                                                                                                                 |
| <b>SECTION 14. Cancellations of Orders</b><br><br>a. Cancellation of Orders shall be prohibited within a specific phase during Market Pre-Open and Pre-Close Period in accordance with the Implementing Guidelines of these Rules.                                                                                                                                                                                                                                                                                  | <b>SECTION 14. Cancellations of Orders</b><br><br>a. Cancellation of Orders shall be prohibited within a specific phase during Market Pre-Open, <u>Market Recess</u> and Pre-Close Period in accordance with the Implementing Guidelines of these Rules.                                                                                                                                                                                                                                                                                                                                            |
| ARTICLE VI – CROSS TRANSACTIONS AND BLOCK SALES                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>SECTION 3. Block Sales</b><br><br>i. Block Sale transactions can be executed from the Market Pre-Open to the Trading-at-Last/Run-Off period.                                                                                                                                                                                                                                                                                                                                                                     | <b>SECTION 3. Block Sales</b><br><br>i. Block Sale transactions can be executed from the Market Pre-Open to the Trading-at-Last/Run-Off period, <u>including Market Recess</u>                                                                                                                                                                                                                                                                                                                                                                                                                      |
| ARTICLE VIII - MARKET HALT OR SUSPENSION OF TRADING ACTIVITY                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>SECTION 2. Market Halt</b><br><br>a. The Exchange may halt the trading in the Market if at least one-third (1/3) of the Trading Participant-users cannot access the Trading System due to Trading System problems such as, but not limited to, server failure, network/link problems, or application errors.<br><br>b. In the event of Market Halt occurring thirty (30) minutes or more, the Exchange shall extend trading hours.<br><br>c. Extension of trading shall be governed by the following guidelines: | <b>SECTION 2. Market Halt</b><br><br>a. The Exchange may halt the trading in the Market if at least one-third (1/3) of the Trading Participant-users cannot access the Trading System due to Trading System problems such as, but not limited to, server failure, network/link problems, or application errors.<br><br>b. <u>Resumption of trading shall be governed by the following guidelines:</u><br><br>i. <u>In the event a Market Halt is triggered prior to Intervention-Before-Opening Phase, ten (10) minutes shall be allotted to Market Pre-Open Period upon resumption of trading.</u> |

Extension of trading hours shall be based on the duration of the Market Halt and is outlined as follows:

| Duration of Market Halt  | Extension  |
|--------------------------|------------|
| 30 minutes to 50 minutes | 30 minutes |
| Beyond 50 minutes        | 1 hour     |

- i. Subject to paragraph b and c(i) of this section, in the event a Market Halt is triggered prior to Intervention-Before-Opening Phase, ten (10) minutes of the extension shall be allotted to Market Pre-Open Period upon resumption of trading.
- ii. Subject to paragraph b and c(i) of this section, in the event a Market Halt is triggered from Intervention-Before-Opening Phase, five (5) minutes of the extension shall be allotted to Intervention-Before-Opening Phase.
- d. Notwithstanding paragraph b of this section, in the event of a Market Halt occurring in the last twenty nine (29) minutes of the Trading Day, the Exchange shall have the discretion to extend the trading hours or otherwise suspend the trading in the Market as stipulated under the existing regulations.

The President may authorize trading to proceed on any operational Trading Floor and the affected Trading Participant may trade through its correspondent Trading Participant or through any other mode of trading not prohibited by the rules of the Exchange.

ii. In the event a Market Halt is triggered during Intervention-Before-Opening Phase, five (5) minutes shall be allotted to Intervention-Before-Opening Phase.

iii. In the event a Market Halt affects the Pre-Close and Run-Off period, upon lifting of the Market Halt the Exchange shall complete the remaining market phases when practicable.

The President may authorize trading to proceed on any operational Trading Floor and the affected Trading Participant may trade through its correspondent Trading Participant or through any other mode of trading not prohibited by the rules of the Exchange.

***\* Remove provisions on extension of trading hours in the event of Market Halt.***